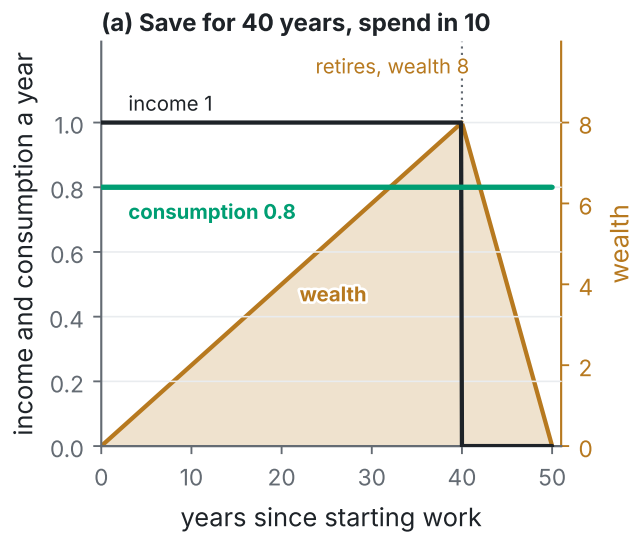
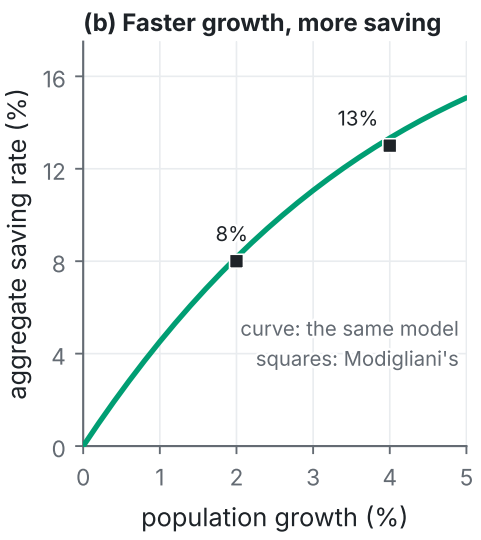

(a) Save for 40 years, spend in 10
retires, wealth 8
income 1
consumption 0.8
wealth
income and consumption a year
wealth
years since starting work
0.0
0.2
0.4
0.6
0.8
1.0
0
2
4
6
8
0
10
20
30
40
50


(b) Faster growth, more saving
aggregate saving rate (%)
population growth (%)
13%
8%
curve: the same model
squares: Modigliani's
0
4
8
12
16
0
1
2
3
4
5